IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 65/BB/2017
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: **22ND December 2017**

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
PRISM MULTITRADE PRIVATE LIMITED
AND
UNICOM MULTITRADE PRIVATE LIMITED
AND
TRIVENI RESIDENCY PRIVATE LIMITED
WITH
BENIR E-STORE SOLUTIONS PRIVATE LIMITD

M/s Prism Multitrade Private Limited,
31, GF Floor, Dodda Katappa Road, Ulsoor,
Bengaluru-560008. - Applicant / Transferor Company No.1

M/s Unicom Multitrade Private Limited,
36, GF Floor, Dodda Katappa Road, Ulsoor,
Bengaluru-560008. - Applicant / Transferor Company No.2

M/s Triveni Residency Private Limited,
32, GF Floor, Dodda Katappa Road, Ulsoor,
Bengaluru-560008. - Applicant / Transferor Company No.3

With

M/s Benir E-Store Solutions Private Limited,
135/1. Maruthi Industrial Estate,
Whitefield Road,
Bengaluru-560048. - Applicant / Transferee Company No.4

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Applicant : Mr. Karthik Ranganathan, Advocate, # 307, 1st Floor, No.13, Westminster Building, Cunningham Road, Bengaluru-560052 Advocate for the Applicant Companies

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Heard on: 31/08/2017, 14/09/2017, 06/10/2017, 27/10/2017, 14/11/2017, 23/11/2017.

O R D E R

This is a Joint Company Application filed on behalf of the Applicant Companies i.e. Applicant/Transferor Company No.1, Applicant/Transferor Company No.2, Applicant /Transferor Company No.3 and Applicant/Transferee Company No.4 praying to order for dispensing with convening of meeting of the Equity Shareholders and to convene the meetings of Unsecured Class of Creditors of the Applicant Companies 1,3 & 4 and to convene the meeting of Secured class of Creditors of Applicant Company 4 for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Companies seek an order for dispensing the convening of meeting(s) of the Equity Shareholders and to convene the meetings of Unsecured Class of Creditors of the Applicant Companies 1,3 & 4 and to convene the meeting of Secured class of Creditors of Applicant Company 4 for approving the Scheme of Amalgamation, where under the **PRISM MULTITRADE PRIVATE LIMITED** (Applicant / Transferor Company No.1), **UNICOM MULTITRADE PRIVATE LIMITED,** (Applicant / Transferor Company No.2) and **TRIVENI RESIDENCY PRIVATE LIMITED** (Applicant / Transferor Company No.3) are proposed to be merged with **BENIR E-STORE SOLUTIONS PRIVATE LIMITED** (Applicant/ Transferee Company No.4) for purposes of considering the Scheme of Amalgamation shown as **Annexure II.**

It is averred that, Applicant / Transferee Company 4 namely, **Benir E-Store Solutions Private Limited,** is a company incorporated on 21st October 2011 under the provisions of the Companies Act, 1956 vide CIN No. **U74999KA2011PTC060890** having its registered office at 135/1, Maruti Industrial Estate, Next to Zuri Hotel, Hoodi, Whitefield Road, Bengaluru-560048. The Transferee Company is engaged in the business of large scale stationery supplies and is the flagship company of the group. A copy of its certificate of incorporation is shown as **Document 1** under **Annexure-I** and copies of its Memorandum of Association and Articles of Association is shown as **Document 2** under **Annexure-I.**

It is averred that, the Applicant / Transferor Company 3 namely, **Triveni Residency Private Limited** was incorporated on 11th February 2008 in the State of Maharashtra vide **CIN No. U45202MH2008PTC178737,** under the provisions of the Companies Act, 1956. Subsequently, on 25th August 2015 the Company shifted the Registered Office to Karnatakan having its registered office at 32, GF Floor, Dodda Katappa Road, Ulsoor, Bangalore-560008. The Transferor Company 3 is engaged in real estate and construction business. The Applicant / Transferor Company 3 is a subsidiary company of Transferee Company. A copy of its certificate of incorporation is shown as **Document 3** under **Annexure-I** and copies of its Memorandum of Association and Articles of Association is shown as **Document 4** under **Annexure-I.**

It is averred that, the Applicant / Transferor Company 1 namely, **Prism Multitrade Private Limited** was incorporated on 25th August 2015 under the provisions of the Companies Act, 1956 vide CIN No. **U511096KA2008PTC082463** having its registered office at 31, GF Floor, Dodda Katappa Road, Ulsoor, Bangalore-560008. The Transferor Company 1 is engaged in the trading business and undertakes import and export of goods. The Applicant / Transferor Company No. 1 is a subsidiary company of Transferor Company-3 which is subsidiary company of Transferee Company as mentioned earlier. A copy of its certificate of incorporation is shown as **Document 5** under **Annexure-I** and copies of its Memorandum of Association and Articles of Association is shown as **Document 6** under **Annexure-I.**

It is averred that, the Applicant / Transferor Company 2 namely, **Unicom Multitrade Private Limited** was incorporated on 26th November 2008 in the state of Maharashtra under the provisions of the Companies Act, 1956 vide CIN No. **U51909MH2008PTC188006.** Subsequently, on 25th August 2015 the registered office of the Company was shifted to Karnataka and having its Registered Office at 36, GF Floor, Dodda Katappa Road, Ulsoor, Bangalore-560008. The Transferor Company 2 is engaged in the trading business and undertakes import and export of goods. The Applicant / Transferor Company 2 is

a subsidiary company of Transferor Company 3 which is subsidiary company of Transferee Company as mentioned earlier. A copy of its certificate of incorporation is shown as **Document 7** under **Annexure-I** and copies of its Memorandum of Association and Articles of Association is shown as **Document 8** under **Annexure-I.**

It is further averred that, the Transferee Company proposes for the amalgamation of Transferor Companies 1,2 and 3 with the Transferee company, followed by dissolution without winding up of Transferor Companies and consequent cancellation of equity shares held by Transferee Company in Transferor Companies pursuant to Section 230 to 240 of the Companies Act, 2013 and other relevant provisions of the Companies Act, 2013.

It is further averred that, the Application is not subject to any limitation period under relevant provisions of the Companies Act, 2013

It is further averred that, the Applicant Companies which are Group companies, believe that, the proposed amalgamation and arrangement inter aalia, will result into benefits in the nature of unlocking shareholder value by amalgamating three subsidiary companies, to simplify management structure, for leading better administration and reduction in operation and management costs for more focused operational efforts, for the standardization and simplification of business processes and for elimination of duplication and rationalization of administrative expenses. The amalgamation also seeks to simplify shareholding structure and eliminate shareholding tier; and to capitalize on direct and indirect tax efficiencies.

It is further averred that, the scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Hon'ble Tribunal, is proposed to be effective from Appointed Date (as defined in the scheme), but proposed to be operative from Effective Date (as defined in the scheme).

It is further averred that, upon coming into effect of this Scheme, the Transferor Companies are getting amalgamated into the Transferee Company which is the Holding Company to Transferor Companies; the equity shares of Transferor Companies held by Transferee Company, directly and through its subsidiaries, shall stand cancelled as a result of amalgamation without any further application, act or deed. The Equity shares shall stand cancelled as per following:

a) 3,00,000 Equity Shares of Transferor Company 3 held by Transferee Company shall stand cancelled and new shares of Transferee Company shall be issued to the remaining shareholders of Transferor Company 3.
b) 2,25,000 Equity Shares of Transferor Company 1 held by Transferor Company 3 and 3,85,000 Equity Shares of Transferor Company 2 held by Transferor Company 3 shall stand cancelled and new shares of Transferee Company shall be issued to the remaining shareholders of Transferor Companies 1 and 2 respectively.

It is further averred that, the proposed scheme is transparent and fair and all the interests of the members of the Applicant Companies as well as the creditors of such Applicant Companies will be protected.

It is further averred that, each of the Applicant Companies comprise of an equity class of shareholders. It is also averred that, at least 90% of the value of the class of shareholders of each Applicant company, has been obtained for the sanction of the said scheme vide resolutions passed in the respective companies' Extraordinary General Meeting. The notices for the said Extraordinary General Meetings conducted by each Applicant Company as well as the corresponding Extraordinary General Meeting resolution consenting to the scheme by equity shareholders of Applicant Companies 1,2,3 & 4 are shown as **Document-1, Document-2, Document-3** and **Document-4** respectively under **Annexure-V.**

It is further averred that, the Transferee Company is comprised of a secured class and an unsecured class of creditors; and that the Transferor Company 1 and the Transferor Company 3 are comprised of only unsecured class of creditors. It is also averred that, the Transferor Company 2 does not have secured or unsecured creditors.

It is further averred that, the present Application has been filed before the Hon'ble Tribunal to seek dispensation of meetings of equity class of shareholders of all Applicant Companies under Section 230 of the Companies Act, 2013 in pursuance of the proposed scheme for amalgamation of the Transferor Companies 1, 2 and 3 with Transferee Company.

The Board of Directors of the Applicant Companies at their respective Board Meetings held on 2nd June 2017 have approved the Scheme of Amalgamation by virtue of which **PRISM MULTITRADE PRIVATE LIMITED** (Applicant / Transferor Company No.1), **UNICOM MULTITRADE PRIVATE LIMITED,** (Applicant / Transferor Company No.2) and **TRIVENI RESIDENCY PRIVATE LIMITED** (Applicant / Transferor Company No.3) are proposed to be merged with **BENIR E-STORE SOLUTIONS PRIVATE LIMITED** (Applicant/ Transferee Company No.4). The Certified copies of the Board Resolutions of the Applicant Companies approving the Scheme of Amalgamation are shown as **Document 1, 2,3 and 4 of Annexure-III.**

We have heard the Counsel appearing for the Applicant Companies, who have filed the Joint Application to dispense with convening of meeting(s) of the Equity Shareholders and to convene the meetings of Unsecured Class of Creditors of the Applicant Companies 1,3 & 4 and to convene the meeting of Secured class of Creditors of Applicant Company 4 for considering the Scheme of Amalgamation of the respective Applicant Companies.

We have seen the certified copy of the Board Resolution dated 2nd June 2017. We have also seen copy of the auditor's certificate duly certifying class of shareholders and creditors of Applicant Companies and Consent of the shareholders in the form of Affidavit and further noticed that:

a) The Applicant/Transferor Company No.1 is having 2 (two) Equity shareholders; 1 (one) Unsecured Creditor and no Secured Creditors as certified by the Chartered Accountant.

b) The Applicant/Transferor Company No.2 is having 2 (two) Equity shareholders; and there are no Unsecured Creditor and Secured Creditors as certified by the Chartered Accountant.

c) The Applicant/Transferor Company No.3 is having 2 (two) Equity shareholders; 4 (four) Unsecured Creditor and no Secured Creditors as certified by the Chartered Accountant.

d) The Applicant/Transferee Company No.4 is having 5 (five) Equity shareholders; and that there are both secured and Unsecured Creditors as certified by the Chartered Accountant.

The Counsel for the Applicant Companies has filed Memo dated 14th December 2017 and submitted that, to dispense with the convening of the meeting of the shareholders and to order for convening the meetings of Secured Creditors and Unsecured Creditors.

Under the circumstances as stated above, the meeting of shareholders is dispensed with and to be ordered to convene the meetings of Secured Creditors & Unsecured Creditors.

The Counsel for the Applicant Companies has filed Memo dated 14th December 2017 suggesting the name of Chairman and also the scrutinizer for convening the meeting of Secured Creditors & Unsecured Creditors and also the place and date. After hearing the counsel and after perusing the documents filed, we pass the following order:

The application is allowed and holding of meeting of the Equity Shareholders, of the Applicant Companies is dispensed with accordingly.

The meeting of the Unsecured Creditors of the **Applicant Company No.1** be convened and held on **12th February 2018 at 2.00 PM** at **No. 135/1, Maruthi Industrial Estate, ITPB Main Road, Bengaluru-560048.** Mr. Manoj Sharma as proposed by the Applicant Company is appointed as Chairperson and Mr. Jayesh Patel, Practicing Chartered Accountant as Scrutinizer for the Meeting of Unsecured Creditors.

The meeting of the Unsecured Creditors of the **Applicant Company No.3** be convened and held on **12th February 2018 at 4.00 PM** at **No. 135/1, Maruthi Industrial Estate, ITPB Main Road, Bengaluru-560048.** Mr. Savji Patel as proposed by the Applicant Company is appointed as Chairperson and Mr. Jayesh Patel, Practicing Chartered Accountant as Scrutinizer for the Meeting of Unsecured Creditors. The meeting of the Secured of the **Applicant Company No.4** be convened and held on **12th February 2018 at 11.00 AM** at **No. 135/1, Maruthi Industrial Estate, ITPB Main Road, Bengaluru-560048,** Mr. Vipul Patel as proposed by the Applicant Company is appointed as Chairperson and Mr. Jayesh Patel, Practicing Chartered Accountant as Scrutinizer for the Meeting of Unsecured Creditors.

The meeting of the Unsecured Creditors of the **Applicant Company No.4** be convened and held on **12th February 2018 at 12.00 Noon** at **No. 135/1, Maruthi Industrial Estate, ITPB Main Road, Bengaluru-560048,** Mr. Vipul Patel as proposed by the Applicant Company is appointed as Chairperson and Mr. Jayesh Patel, Practicing Chartered Accountant as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meetings of Secured & Unsecured Creditors, for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation **PRISM MULTITRADE PRIVATE LIMITED** (Applicant / Transferor Company No.1), **UNICOM MULTITRADE PRIVATE LIMITED,** (Applicant / Transferor Company No.2) and **TRIVENI RESIDENCY PRIVATE LIMITED** (Applicant / Transferor Company No.3) with **BENIR E-STORE SOLUTIONS PRIVATE LIMITED** (Applicant/ Transferee Company No.4).

The quorum for the Meeting of Unsecured Creditors of Applicant Company No.1 is 01 (one) as fixed by the Applicant.

The quorum for the Meeting of Unsecured Creditors of Applicant Company No.3 is 04 (four) as fixed by the Applicant.

The quorum for the Meeting of Secured Creditors of Applicant Company No.4 is 02 (two) as fixed by the Applicant.

The quorum for the Meeting of Unsecured Creditors of Applicant Company No.4 is 02 (two) as fixed by the Applicant.

The Notice of the Meetings of Secured and Unsecured Creditors shall be published in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Secured and Unsecured Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of Scheme of Amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Secured and Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of

receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, along with PAN particulars of the Company within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this Tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL